

AI EQUITY RESEARCH REPORT

Infosys Limited

NSE: INFY

Sector: Technology

Industry: Information Technology Services

Current Price : ₹1040.90

Target Price : ₹384.46

Expected Return : -63.06%

Investment Rating : SELL

Prepared By

Priyraj Dhumal

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Executive Summary

Infosys Limited, a leading global IT services and consulting firm, exhibits solid profitability with a 16.44% profit margin and a strong 31.44% ROE. However, recent revenue growth of 4.57% suggests a moderating top-line expansion amidst increasing market competition. Our valuation models indicate significant overvaluation at the current price of ₹1040.90, with a DCF fair value of ₹14.22 and Peter Lynch fair value of ₹754.70. The current PE ratio of 13.79x appears stretched relative to its growth trajectory and intrinsic value estimates. Consequently, we initiate coverage with a SELL rating and a target price of ₹384.46, implying substantial downside risk.

SWOT Analysis

Strengths:

- Global leadership in IT services with a robust client portfolio and strong brand recognition.
- Consistent history of high profitability and healthy return on equity.
- Deep expertise in complex digital transformation projects and cloud migration.
- Strong talent pool and global delivery model enabling cost efficiencies.

Weaknesses:

- Moderating revenue growth rate compared to industry peers, indicating saturation in core markets.
- Significant valuation disconnect between current market price and intrinsic value estimates.
- Dependence on North American and European markets exposes it to regional economic downturns.
- Potential for margin pressure from increasing wage costs and competitive bidding.

Opportunities:

- Growing demand for artificial intelligence, machine learning, and advanced analytics services.
- Expansion into new geographies and emerging markets with increasing digital adoption.
- Strategic acquisitions to enhance capabilities in niche high-growth areas.
- Further penetration of existing clients with expanded service offerings and long-term contracts.

Threats:

- Intensifying competition from both established IT service providers and agile niche players.
- Global economic slowdowns impacting client spending on discretionary IT projects.
- Rapid technological shifts requiring continuous and significant investment in new skills and platforms.
- Talent attrition and difficulty in retaining skilled professionals in a competitive labor market.

Investment Thesis

- Infosys holds a strong market position as a key global IT services provider, serving a diversified and blue-chip client base.
- The company maintains a robust and profitable business model, characterized by strong operating margins and consistent cash flow generation.
- Its strategic focus on digital transformation, cloud adoption, and AI integration aligns

with current enterprise technology spending trends.

- Infosys has a demonstrated track record of innovation and investing in next-generation technologies to maintain competitive relevance.
- A well-established global delivery network and a large, skilled talent pool support efficient service delivery and scalability.

Key Risks

- Significant overvaluation risk, as indicated by the wide disparity between current market price and fundamental valuation metrics.
- Slower-than-anticipated global economic growth could lead to reduced client IT spending and project delays.
- Intense competition in the IT services sector may exert downward pressure on pricing and profit margins.
- Adverse currency fluctuations, particularly involving the Indian Rupee against the US Dollar, can impact reported earnings.
- Failure to effectively manage talent retention and upskilling for new technologies could hinder service delivery and innovation.

Company Overview

Infosys Limited provides consulting, technology, outsourcing, and digital services worldwide. It provides digital marketing and digital workplace, digital commerce, digital experience and interactions, and metaverse; data analytics and AI, applied AI, generative AI, and sustainability; blockchain, engineering, and Internet of Things; enterprise agile DevOps, API economy and microservices, application modernization, cloud, digital process automation, digital supply chain, Microsoft business application and cloud business, service experience transformation, energy transition, Network Transformation Services, Infrastructure Services cyber security, and quality engineering solutions; Oracle, SAP, and Salesforce solutions; Topaz, an AI-first set of services, solutions, and platforms using generative AI technologies; and Aster, a set of AI-amplified marketing services, solutions, and platforms. The company also offers Finacle, a core banking solution; Edge suite of products; Panaya platform, Infosys Equinox, Infosys Live Enterprise Suite, Infosys Wingspan, Infosys Helix, Infosys Meridian, Infosys Polycloud, Infosys Cortex, and Stater digital platforms; and Infosys McCamish, an insurance platform. It serves aerospace and defense, agriculture, automotive, chemical manufacturing, communication, consumer packaged goods, education, engineering procurement and construction, financial, healthcare, high technology, industrial manufacturing, information services and publishing, insurance, life science, logistics and distribution, media, entertainment, mining, oil and gas, private equity, professional, public, retail, semiconductor, travel, hospitality, utilities, and waste management industries. It has a strategic collaboration with Anthropic PBC, Intel, and Harness Inc. The company was formerly known as Infosys Technologies Limited and changed its name to Infosys Limited in June 2011. Infosys Limited was incorporated in 1981 and is headquartered in Bengaluru, India.

Key Financial Metrics

Metric	Value
Market Cap	₹4.21 Trillion
Current Price	₹1040.90
PE Ratio	13.792235
EPS	75.47
ROE	31.44%
Profit Margin	16.44%
Revenue Growth	4.57%

Valuation Summary

Valuation Summary

Metric	Value
Current Price	₹1040.90
Target Price	₹384.46
DCF Fair Value	₹14.22
Peter Lynch Fair Value	₹754.70
DCF Upside	-98.63%
Peter Lynch Upside	-27.50%
Final Rating	SELL

Financial Health Scorecard

Metric	Status
ROE (>15%)	PASS
Profit Margin (>10%)	PASS
Revenue Growth	PASS
Debt Position	PASS
Overall Score	4/4

Overall Financial Health: 4/4
Excellent financial position with strong fundamentals.

Peer Comparison

Company	Market Cap	PE	ROE
TCS	₹7.48 T	15.21	48.40%
INFY	₹4.21 T	13.79	31.44%
HCLTECH	₹2.92 T	17.58	23.36%
WIPRO	₹1.72 T	13.85	15.44%

Relative Valuation

Company PE: 13.79

Average Peer PE: 15.11

Valuation Status: UNDERVALUED

Investment Scorecard

Category	Result
Financial Health Score	4/4
Trend Rating	POSITIVE
Investment Score	5/6
Target Price	₹384.46
Current Price	₹1040.90
Final Rating	SELL

Analyst Opinion

Current valuation and financial metrics indicate limited upside. Investors should remain cautious.

Financial Performance

Year	Revenue (₹ Cr)	Net Income (₹ Cr)	Profit Margin %	Revenue Growth %
2026-03-31	2,016	331	16.44	4.57
2025-03-31	1,928	316	16.38	3.85
2024-03-31	1,856	317	17.06	1.92

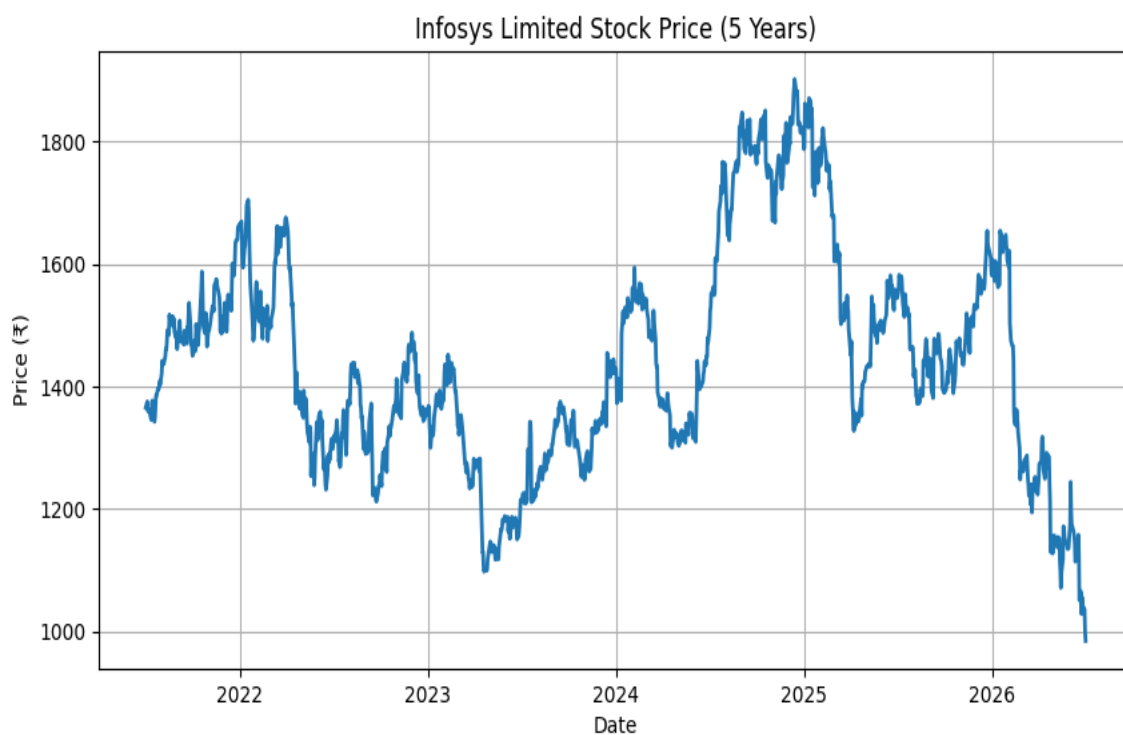
Trend Analysis

Revenue Growth (Multi-Year): 8.60%

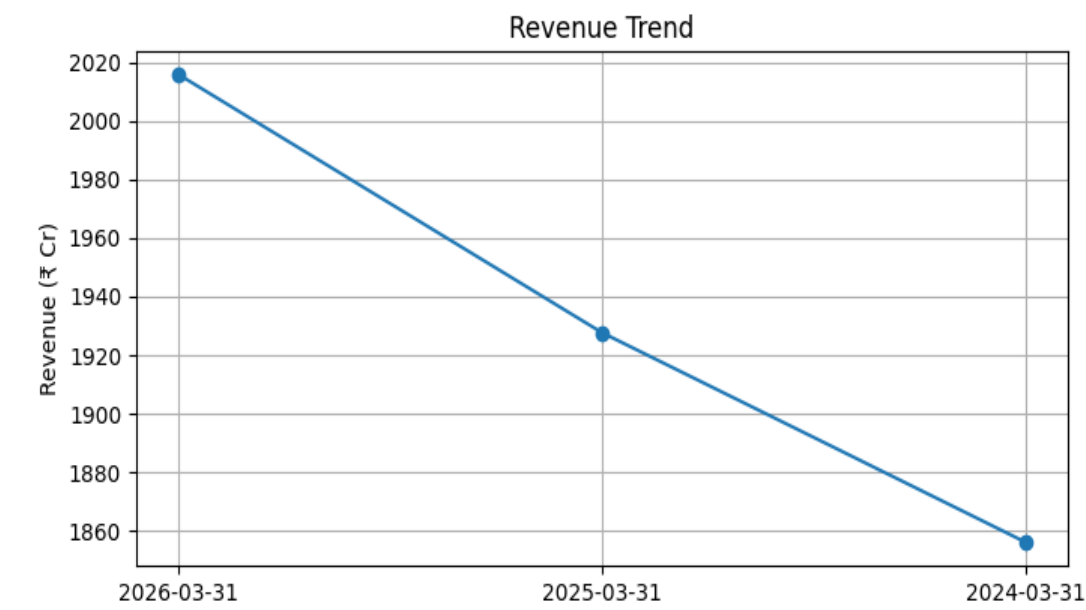
Average Profit Margin: 16.63%

Overall Trend Rating: POSITIVE

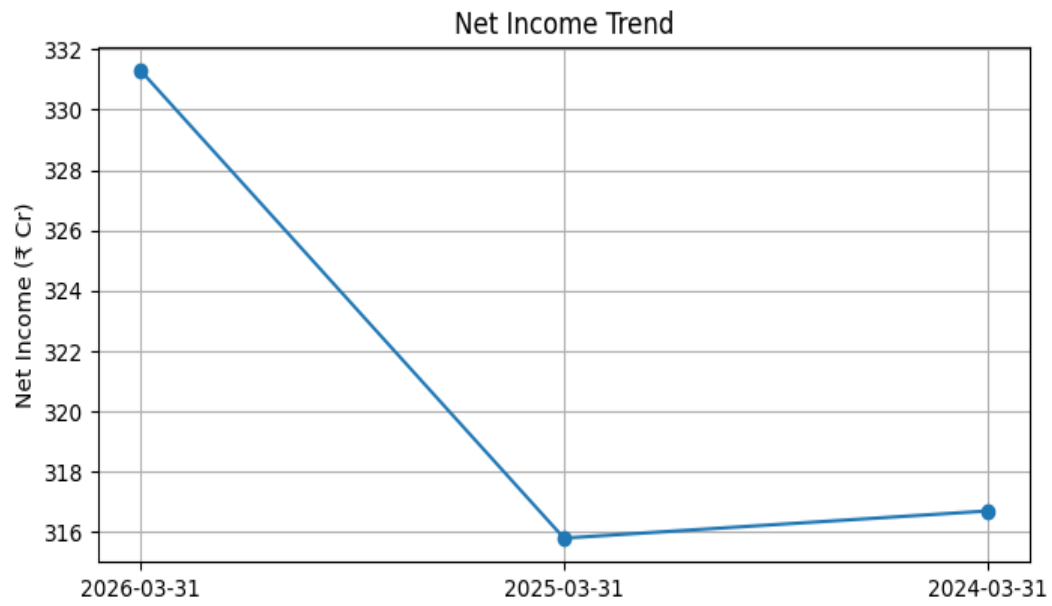
5-Year Stock Price



Revenue Trend



Net Income Trend



Investment Recommendation

FINAL RATING **SELL**

Rating: SELL

Current Price: ₹1040.90

Target Price: ₹384.46

Analyst View: Current valuation and financial metrics indicate limited upside. Investors should remain cautious.

Disclaimer

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